

UCHUMI SUPERMARKETS LIMITED
(IN RECEIVERSHIP) AND SUBSIDIARIES

ANNUAL REPORT
AND FINANCIAL STATEMENTS

30 JUNE 2008

ERNST & YOUNG

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP)
REPORT OF THE SPECIALIST RECEIVER MANAGER AND FINANCIAL STATEMENTS
FOR THE YEAR ENDED 30 JUNE 2008

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UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
COMPANY INFORMATION
FOR THE YEAR ENDED 30 JUNE 2008

PRINCIPAL PLACE OF BUSINESS

Uchumi Supermarkets Limited (In Receivership)
Yarrow Road,
Off Nanyuki Road
P. O. Box 73167
00200 NAIROBI.

REGISTRARS

Funguo Registrars Limited
Uchumi House
Moi Avenue
P.O Box 1133
00200 NAIROBI.

REGISTERED OFFICE

Uchumi Supermarkets Limited (In Receivership)
Yarrow Road,
Off Nanyuki Road
P. O. Box 73167
00200 NAIROBI.

SPECIALIST RECEIVER MANAGER

Jonathan Ciano
Uchumi Supermarkets Limited (In Receivership)
Yarrow Road
P. O. Box 73167
00200 NAIROBI.

BANKERS

Kenya Commercial Bank Limited
Kencom House
Moi Avenue
P. O. Box 48400
00100 NAIROBI.

Eastern and Southern African Trade and
Development Bank (PTA Bank)
NSSF Building
Bishops Road
P. O. Box 48596
00100 NAIROBI.

Barclays Bank of Kenya Limited
Barclays Plaza
Loita Street
P. O. Box 30120
00100 NAIROBI.

Equity Bank Limited
NHIF Building
P. O Box 75104
00200 NAIROBI.

AUDITOR

Ernst & Young
Kenya Re Towers – Upper Hill
P. O. Box 44286
00100 NAIROBI.

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
REPORT OF THE SPECIALIST RECEIVER MANAGER
FOR THE YEAR ENDED 30 JUNE 2008

The Specialist Receiver Manager submits his report and the audited financial statements for the year ended 30 June 2008 which show the state of the group's affairs.

1. PRINCIPAL ACTIVITIES

The principal activity of the company is that of operating retail supermarkets. The activities of the subsidiary companies are those recorded in note 5 to the financial statements.

2. OPERATIONS OF THE COMPANY

On 31 May 2006, the Board and Management of Uchumi Supermarkets Limited passed a resolution to cease trading and the company operations were shut down, a closure that lasted from 1 June 2006 to 14 July 2006.

Following the decision to cease trading, the company's debenture holders were compelled to appoint Receiver Managers on 02 June 2006. Subsequently, the Government of Kenya appointed a Task Force, in collaboration with the debenture holders, to work out a 'rescue plan' for the company. On the recommendation of the Task Force, a Framework Agreement relating to a business rescue plan was drawn and was entered into between the company, debenture holders, the Government of Kenya and unsecured creditors.

On 14 July 2006, the debenture holders appointed a Specialist Receiver Manager and the company re-opened for operations on 15 July 2006.

The group has put in place Uchumi Rescue Plan (URP) whose mandate is derived from a 'Framework Agreement' with the Government of Kenya and other stakeholders aimed at turning around the business. One of the group's turnaround strategies under the URP is the engagement of strategic equity partners (SEPs) to address restructuring of the operations of the shareholders' negative funds and further contribute to the management of the group. At the time of reporting, implementing the plan was at an advanced stage.

3. RESULTS

The group's and the company's results are set out on pages 8 and 10, respectively.

4. DIVIDEND

The directors do not recommend the payment of a dividend for the year.

5. RESERVES

The reserves of the group and the company are set out on page 27, note 11.

6. MANAGEMENT

During the year, the management of the company was under the Specialist Receiver Manager.

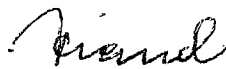
UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
REPORT OF THE SPECIALIST RECEIVER MANAGER (Continued)
FOR THE YEAR ENDED 30 JUNE 2008

7. FINANCIAL STATEMENTS

At the date of this report, the Specialist Receiver Manager was not aware of any circumstances which would have rendered the values attributed to assets and liabilities in the financial statements of the group, misleading.

8. AUDITORS

Ernst & Young have expressed their willingness to continue in office.



Jonathan Ciano
Specialist Receiver Manager

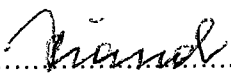
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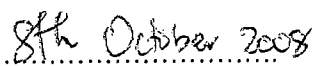
UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
STATEMENT OF SPECIALIST RECEIVER MANAGER'S RESPONSIBILITIES
ON THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 30 JUNE 2008

The Kenyan Companies Act requires the Directors and the Specialist Receiver Manager to prepare financial statements for each financial year, which give a true and fair view of the state of affairs of the group and the company as at the end of the financial year and of the operating results of the group and of the company for that year. It also requires the Specialist Receiver Manager to ensure the group and the company keep proper accounting records which disclose, with reasonable accuracy, the financial position of the group and the company. He is also responsible for safeguarding the assets of the group

The Directors and the Specialist Receiver Manager accept responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgements and estimates, in conformity with International Financial Reporting Standards and the requirements of the Kenyan Companies Act. The Specialist Receiver Manager is of the opinion that the financial statements give a true and fair view of the state of the financial affairs and of the operating results of the group and the company. The Specialist Receiver Manager further accepts responsibility for the maintenance of accounting records which may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

The financial statements have been prepared on a going concern basis which assumes continued financial support from the debenture holders, shareholders, bankers and suppliers.


.....
Specialist Receiver Manager


.....
Date



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Certified Public Accountants
Kenya-Re Towers, Upperhill
Off Bagati Road
P.O. Box 44286 00100
Nairobi GPO - Kenya
Tel: +254 20 2715300
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www.ey.com/easternafrica

**REPORT OF THE INDEPENDENT AUDITORS
TO THE SPECIALIST RECEIVER MANAGER OF
UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES**

We have audited the accompanying consolidated financial statements of Uchumi Supermarkets Limited (In Receivership), the company and its subsidiaries (together, the group), as set out on pages 7 to 35, which comprise the consolidated balance sheet as at 30 June 2008 and the consolidated income statement, consolidated statement of changes in equity and consolidated cash flow statement for the year then ended, together with the balance sheet of the company as at 30 June 2008, the income statement and statement of changes in equity of the company for the year then ended and a summary of significant accounting policies and other explanatory notes.

SPECIALIST RECEIVER MANAGER'S RESPONSIBILITY FOR THE FINANCIAL STATEMENTS

The Specialist Receiver Manager is responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act. This responsibility includes: designing, implementing and maintaining internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error; selecting and applying appropriate accounting policies; and making accounting estimates that are reasonable in the circumstances.

AUDITORS' RESPONSIBILITY

Our responsibility is to express an independent opinion on the financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depended on the auditors' professional judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditors considered the internal control relevant to the group's preparation and fair presentation of the financial statements in order to design audit procedures that were appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the group's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the Specialist Receiver Manager, as well as evaluating the overall presentation of the financial statements.

Except for the matter referred to in the following paragraph, we believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

The financial statements have been prepared on a going concern basis which assumes continued financial support from debenture holders, bankers, shareholders and suppliers. However, the group has put in place the Uchumi Rescue Plan (URP) whose mandate is derived from a 'Framework Agreement' with the Government of Kenya and other stakeholders aimed at turning around the business. One of the group's turnaround strategies under the URP is the engagement of strategic equity partners (SEPs) to address restructuring of the shareholders' negative funds and contribute in the management of the group. At the time of reporting, implementation of the plan was at an advanced stage.

OPINION

In our opinion, except for the matter referred to in the preceding paragraph, the accompanying financial statements give a true and fair view of the state of financial affairs of the group and of the company as at 30 June 2008 and of the profit of the group and the company and cash flows of the group for the year then ended in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act.

Report on Other Legal Requirements

As required by the Kenyan Companies Act, we report to you, based on our audit that:

- i) We have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit;
- ii) In our opinion, proper books of account have been kept by the group, so far as appears from our examination of those books;
- iii) The group's and company's balance sheets and income statements are in agreement with the books of account.

Ernst & Young

Nairobi

13 October 2008

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
CONSOLIDATED BALANCE SHEET
AS AT 30 JUNE 2008

	Note	2008 KShs'000	2007 KShs'000
ASSETS			
NON-CURRENT ASSETS			
Property, plant and equipment	3(a)	579,159	668,562
Prepaid operating lease rentals	4	<u>150,248</u>	<u>151,658</u>
		<u>729,407</u>	<u>820,220</u>
CURRENT ASSETS			
Inventories	6	622,484	520,050
Trade and other receivables	7	147,752	137,389
Tax recoverable	22	115	11,147
Short term deposits		22,000	22,000
Bank and cash balances		<u>107,405</u>	<u>72,951</u>
		<u>899,756</u>	<u>763,537</u>
TOTAL ASSETS		<u>1,629,163</u>	<u>1,583,757</u>
SHAREHOLDERS' EQUITY AND LIABILITIES			
CAPITAL AND RESERVES			
Share capital	10	900,000	900,000
Reserves	11	<u>(1,903,999)</u>	<u>(1,999,450)</u>
		<u>(1,003,999)</u>	<u>(1,099,450)</u>
NON-CURRENT LIABILITIES			
Term loans	12	<u>1,180,089</u>	<u>1,597,950</u>
CURRENT LIABILITIES			
Trade and other payables	13	884,694	963,542
Amounts due to related parties	8	7,962	8,110
Debenture loan	12	207,437	22,000
Term loans	12	340,000	72,569
Bank overdraft	14	<u>12,980</u>	<u>19,036</u>
		<u>1,453,073</u>	<u>1,085,257</u>
TOTAL SHAREHOLDERS' FUNDS AND LIABILITIES		<u>1,629,163</u>	<u>1,583,757</u>

The financial statements were approved on 8th October 2008 and signed on its behalf by:-

[Signature] Specialist Receiver Manager

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
CONSOLIDATED INCOME STATEMENT
FOR THE YEAR ENDED 30 JUNE 2008

	Note	2008 KShs'000	2007 KShs'000
SALES	15	6,792,354	4,503,241
COST OF SALES	16	<u>(5,552,902)</u>	<u>(3,694,845)</u>
GROSS PROFIT		1,239,452	808,396
OTHER INCOME	17	<u>309,579</u>	<u>152,333</u>
		<u>1,549,031</u>	<u>960,729</u>
EXPENSES:-			
Administration and establishment	18	(1,146,579)	(1,016,826)
Selling and distribution	19	<u>(107,007)</u>	<u>(48,339)</u>
		<u>(1,253,586)</u>	<u>(1,065,165)</u>
PROFIT/(LOSS) FROM OPERATING ACTIVITIES		295,445	(104,436)
FINANCE COSTS	20	<u>(189,344)</u>	<u>(152,124)</u>
PROFIT/(LOSS) BEFORE TAXATION	21	106,101	(256,560)
TAXATION	22	<u>(11,032)</u>	<u>-</u>
PROFIT/(LOSS) AFTER TAXATION		<u>95,069</u>	<u>(256,560)</u>
PROFIT/(LOSS) PER SHARE			
Basic and diluted	23	<u>0.53</u>	<u>(1.43)</u>

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP)
BALANCE SHEET OF THE COMPANY
AS AT 30 JUNE 2008

	Note	2008 KShs'000	2007 KShs'000
ASSETS			
NON-CURRENT ASSETS			
Property, plant and equipment	3(b)	552,962	624,747
Prepaid operating lease rentals	4	48,953	49,224
Investment in subsidiaries	5	<u>60,000</u>	<u>-</u>
		<u>661,915</u>	<u>673,971</u>
CURRENT ASSETS			
Inventories	6	561,201	475,739
Trade and other receivables	7	123,660	114,342
Amounts due from related parties	8	249,921	169,268
Short term deposits		22,000	22,000
Tax recoverable	22	115	11,147
Bank and cash balances		<u>37,361</u>	<u>47,442</u>
		<u>994,258</u>	<u>839,938</u>
TOTAL ASSETS		<u>1,656,173</u>	<u>1,513,909</u>
SHAREHOLDERS' EQUITY AND LIABILITIES			
CAPITAL AND RESERVES			
Share capital	10	900,000	900,000
Reserves	11	<u>(1,750,087)</u>	<u>(1,959,150)</u>
		<u>(850,087)</u>	<u>(1,059,150)</u>
NON CURRENT LIABILITIES			
Term loans	12	<u>1,180,089</u>	<u>1,597,950</u>
CURRENT LIABILITIES			
Trade and other payables	13	757,792	863,153
Amount due to related parties	8	7,962	8,110
Debenture loan	12	207,437	22,000
Term loans	12	340,000	72,569
Bank overdraft	14	<u>12,980</u>	<u>9,277</u>
		<u>1,326,171</u>	<u>975,109</u>
TOTAL SHAREHOLDERS' FUNDS AND LIABILITIES		<u>1,656,173</u>	<u>1,513,909</u>

The financial statements were approved on 8th October 2008 and signed on its behalf by:-

[Signature] Specialist Receiver Manager

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP)
INCOME STATEMENT OF THE COMPANY
FOR THE YEAR ENDED 30 JUNE 2008

	Note	2008 KShs'000	2007 KShs'000
SALES	15	5,978,227	3,883,013
COST OF SALES	16	<u>(4,887,617)</u>	<u>(3,190,890)</u>
GROSS PROFIT		1,090,610	692,123
OTHER INCOME	17	<u>420,205</u>	<u>134,230</u>
		<u>1,510,815</u>	<u>826,353</u>
EXPENSES:-			
Administration and establishment	18	(1,001,282)	(876,179)
Selling and distribution	19	<u>(99,020)</u>	<u>(43,421)</u>
		<u>(1,100,302)</u>	<u>(919,600)</u>
PROFIT/(LOSS) FROM OPERATING ACTIVITIES		410,513	(93,247)
FINANCE COSTS	20	<u>(190,418)</u>	<u>(156,494)</u>
PROFIT/(LOSS) BEFORE TAXATION	21	220,095	(249,741)
TAXATION	22	<u>(11,032)</u>	<u>-</u>
PROFIT/(LOSS) AFTER TAXATION		<u>209,063</u>	<u>(249,741)</u>
PROFIT/(LOSS) PER SHARE			
Basic and diluted	23	<u>1.16</u>	<u>(1.39)</u>

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
CONSOLIDATED STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 30 JUNE 2008

	Share capital KShs'000	Share premium KShs'000	Revaluation reserve KShs'000	Translation reserve KShs'000	Accumulated losses KShs'000	Total KShs'000
At 1 July 2006	900,000	662,882	141,924	(8,801)	(2,427,652)	(731,647)
Prior year adjustment (note 25)	-	-	-	-	(107,065)	(107,065)
Restated balance	900,000	662,882	141,924	(8,801)	(2,534,717)	(838,712)
Transfer of excess depreciation	-	-	(3,266)	-	3,266	-
Deferred income tax on transfer	-	-	980	-	(980)	-
Loss for the year	-	-	-	-	(256,560)	(256,560)
Translation differences	-	-	-	(4,178)	-	(4,178)
At 30 June 2007	<u>900,000</u>	<u>662,882</u>	<u>139,638</u>	<u>(12,979)</u>	<u>(2,788,991)</u>	<u>(1,099,450)</u>
At 1 July 2007	900,000	662,882	139,638	(12,979)	(2,788,991)	(1,099,450)
Transfer of excess depreciation	-	-	(3,266)	-	3,266	-
Deferred income tax on transfer	-	-	980	-	(980)	-
Profit for the year	-	-	-	-	95,069	95,069
Translation differences	-	-	-	382	-	382
At 30 June 2008	<u>900,000</u>	<u>662,882</u>	<u>137,352</u>	<u>(12,597)</u>	<u>(2,691,636)</u>	<u>(1,003,999)</u>

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP)
STATEMENT OF CHANGES IN EQUITY OF THE COMPANY
FOR THE YEAR ENDED 30 JUNE 2008

	Share capital KShs'000	Share premium KShs'000	Revaluation reserve KShs'000	Accumulated losses KShs'000	Total KShs'000
At 1 July 2006	900,000	662,882	141,924	(2,407,150)	(702,344)
Prior year adjustment (note 25)	-	-	-	(107,065)	(107,065)
Restated balance	900,000	662,882	141,924	(2,514,215)	(809,409)
Transfer of excess depreciation	-	-	(3,266)	3,266	-
Deferred income tax on transfer	-	-	980	(980)	-
Loss for the year	-	-	-	(249,741)	(249,741)
At 30 June 2007	<u>900,000</u>	<u>662,882</u>	<u>139,638</u>	<u>(2,761,670)</u>	<u>(1,059,150)</u>
At 1 July 2007	900,000	662,882	139,638	(2,761,670)	(1,059,150)
Transfer of excess depreciation	-	-	(3,266)	3,266	-
Deferred income tax on transfer	-	-	980	(980)	-
Profit for the year	-	-	-	209,063	209,063
At 30 June 2008	<u>900,000</u>	<u>662,882</u>	<u>137,352</u>	<u>(2,550,321)</u>	<u>(850,087)</u>

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
CONSOLIDATED CASH FLOW STATEMENT
FOR THE YEAR ENDED 30 JUNE 2008

	Note	2008 KShs'000	2007 KShs'000
NET CASH FLOWS FROM OPERATING ACTIVITIES			
Profit/(loss) before income tax		106,101	(256,560)
Adjustments for:			
Depreciation on property, plant and equipment		105,977	130,070
Amortisation of prepaid operating lease rentals		1,410	271
Amortisation of intangible assets		-	61,308
Loss on sale of property, plant and equipment		-	2,965
Trade and other receivables		(10,363)	(13,622)
Due to related parties		(148)	1,989
Inventories		(102,434)	(224,848)
Trade and other payables		(78,474)	(364,884)
Short term deposits		-	(22,000)
Net cash generated from/(used in) operating activities		<u>22,069</u>	<u>(685,311)</u>
INVESTING ACTIVITIES			
Purchase of property, plant and equipment		(16,948)	(14,381)
Proceeds from sale of plant and equipment		-	3,554
Net cash used in investing activities		<u>(16,948)</u>	<u>(10,827)</u>
FINANCING ACTIVITIES			
Proceeds from long term borrowing		-	868,047
Repayments on long term borrowing		(150,430)	-
Proceeds from debenture loan		<u>185,437</u>	<u>22,000</u>
Net cash generated from financing activities		<u>35,007</u>	<u>890,047</u>
NET INCREASE IN CASH AND CASH EQUIVALENTS		40,128	193,909
CASH AND CASH EQUIVALENTS AT THE BEGINNING OF THE YEAR		53,915	(135,816)
Effects of exchange rate movements on cash and cash equivalents		<u>382</u>	<u>(4,178)</u>
CASH AND CASH EQUIVALENTS AT THE END OF THE YEAR	9	<u>24,425</u>	<u>53,915</u>

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP)
NOTES TO THE FINANCIAL STATEMENTS (Continued)
FOR THE YEAR ENDED 30 JUNE 2008

2. ACCOUNTING POLICIES (Continued)

b) Revenue recognition (Continued)

Sales of services are recognised in the period in which the services are rendered, by reference to the completion of the specific transaction assessed on the basis of the actual service provided as a proportion of the total services to be provided.

Revenue represents the fair value of the consideration receivable for sales of goods and services and is stated net of Value-Added Tax (VAT), rebates and discounts.

Interest income is recognised on a time proportion basis using the effective interest method.

c) Inventories

Inventories are stated at the lower of cost and net realisable value. Cost is determined by the weighted average cost method. Net realisable value is the estimate of the selling price in the ordinary course of business, less selling expenses.

d) Property, plant and equipment

All categories of property, plant and equipment are initially recorded at cost. Buildings and freehold land are subsequently shown at market value, based on regular valuations by external independent valuers, less subsequent depreciation for buildings. All other property, plant and equipment are stated at historical cost less depreciation.

Increases in the carrying amount arising on revaluation are credited to a revaluation surplus reserve in equity. Decreases that offset previous increases of the same asset are charged against the revaluation surplus. All other decreases are charged to the income statement. Each year, the difference between depreciation based on the revalued carrying amount of the asset (the depreciation charged to the income statement) and depreciation based on the asset's original cost is transferred from the revaluation surplus to retained earnings.

Depreciation is calculated on the straight line basis to write down the cost of each asset, or the revalued amount, to its residual value over its estimated useful life as follows:

Buildings on freehold land	Over a period of 45 years
Buildings on leasehold land	Shorter of estimated useful life or the lease term
Improvements to premises	10%
Plant and machinery	20%
Equipment and motor vehicles	15%, 20% and 25% (as applicable)

Freehold land is not depreciated as it is deemed to have an indefinite life.

The carrying values of the above mentioned tangible assets are reviewed for impairment either annually, or when events or changes in circumstances indicate the carrying value may not be recoverable.

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP)
NOTES TO THE FINANCIAL STATEMENTS (Continued)
FOR THE YEAR ENDED 30 JUNE 2008

1. GENERAL INFORMATION

Uchumi Supermarkets Limited (in Receivership) is incorporated in Kenya under the Kenyan Companies Act. The company operates retail supermarkets in Kenya and Uganda.

The company's shares are currently suspended from the Nairobi Stock Exchange listing after it was placed under receivership on 2 June 2006.

2. ACCOUNTING POLICIES

The principal accounting policies applied in the preparation of these financial statements are set out below. These policies have been consistently applied to all years presented, unless otherwise stated.

a) Basis of accounting

The financial statements have been prepared in accordance with International Financial Reporting Standards (IFRSs). The financial statements have been prepared on the historical cost basis of accounting.

In 2007, several new and revised standards, amendments and interpretations to published standards became effective and have been adopted by the company, where relevant to its operations.

The following standards, amendments and interpretations to published standards are mandatory for accounting periods beginning on or after 1 January 2007, but they are not relevant to the company's operations:

- IFRS 4, 'Insurance contracts';
- IFRIC 7, 'Applying the restatement approach under IAS 29, financial reporting in hyperinflationary economies';
- IFRIC 8, 'Scope of IFRS 2';
- IFRIC 9, 'Re-assessment of embedded derivatives';
- IFRIC 10, 'Interim financial reporting and impairment'; and,
- IFRS 11, 'IFRS 2 – Group and treasury share transactions'.

The company has chosen not to early adopt the following standards, amendments and interpretations to existing standards that were issued, but not yet effective. The application of these standards, amendments and interpretations will not have material impact on the company's financial statements in the period of initial application.

- IAS 23, Amendment, 'Borrowing costs (effective from 1 January 2009)';
- IFRS 8, 'Operating segments (effective from 1 January 2009)';
- IFRIC 14, 'IAS 19 – The limit on a defined benefit asset, minimum funding requirements and their interaction (effective from 1 January 2008)';
- IFRIC 12, 'Service concession arrangements (effective from 1 January 2008)'; and,
- IFRIC 13, 'Customer loyalty programmes (effective from 1 July 2008)'.

b) Revenue recognition

Sales of goods are recognised in the period in which the group delivers the product to the customer, the customer has accepted the products and the collectability of the related receivables is reasonably assured.

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP)
NOTES TO THE FINANCIAL STATEMENTS (Continued)
FOR THE YEAR ENDED 30 JUNE 2008

2. ACCOUNTING POLICIES (Continued)

d) Property, plant and equipment (Continued)

If any such indication exists and where the carrying values exceed the estimated recoverable amount, the assets or cash-generating units are written down to their recoverable amount. The recoverable amount of equipment and motor vehicles is the greater of net selling price and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. Impairment losses are recognised in the income statement.

Items of tangible assets are derecognised upon disposal or when no future economic benefits are expected to arise from the continued use of the asset.

Any gain or loss arising on de-recognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the item) is included in the income statement in the year the item is derecognised.

e) Foreign currency transactions

Transactions during the year are converted into Kenya Shillings at rates ruling at the transactions dates. Assets and liabilities at the balance sheet date which are expressed in foreign currencies are translated into Kenya Shillings at rates ruling at that date. The resulting differences from conversion and translation are dealt with in the income statement for the year in which they arise.

As at the reporting date, the assets and liabilities of foreign subsidiary are translated into the company's presentation currency (Kenya Shillings) at the rate of exchange ruling at the balance sheet date and their income statements are translated at the weighted average exchange rates for the year. Exchange differences arising on translation are taken directly to a separate component of equity. On disposal of a foreign entity, the deferred cumulative amount recognised in equity relating to that particular foreign operation is recognised in the income statement.

f) Cash and cash equivalents

Cash and cash equivalents in the balance sheet comprise cash at bank and in hand and short-term deposits with an original maturity of three months or less.

Cash and cash equivalents that have a fixed maturity date (less than 3 months) are subsequently measured at cost, as these are highly liquid and readily convertible.

Cash and cash equivalents that do not have fixed maturity dates are subsequently measured at amortised cost using the effective interest rate method.

For the purposes of the cash flow statement, cash and cash equivalents consist of cash and cash equivalents as defined above, net of outstanding bank overdrafts.

Bank overdrafts are disclosed separately under current liabilities.

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP)
NOTES TO THE FINANCIAL STATEMENTS (Continued)
FOR THE YEAR ENDED 30 JUNE 2008

2. ACCOUNTING POLICIES (Continued)

g) Trade and other payables

Trade and other payables are carried at amortised cost using the effective interest rate method. Trade payables being short term in nature are carried at cost as the effect of imputing interest is considered to be insignificant.

h) Interest-bearing loans and borrowings

All loans and borrowings are initially recognised at cost, being the fair value of the consideration received net of issue costs associated with the borrowing.

After initial recognition, interest-bearing loans and borrowings are subsequently measured at amortised cost using the effective interest method. Amortised cost is calculated by taking into account any issue costs and any discount or premium on settlement.

i) Trade receivables

Trade receivables are stated at their nominal value as reduced by appropriate allowances for estimated irrecoverable amounts. An estimate is made of doubtful receivables based on review of all outstanding amounts at year end. Bad debts are written off after all efforts of recovery have been exhausted.

j) Consolidation of financial statements

Subsidiaries are all entities over which the company has the power to govern the financial and operating policies generally accompanying a shareholding of more than one half of the voting rights. Subsidiaries are fully consolidated from the date on which control is transferred to the group. They are de-consolidated from the date control ceases.

The consolidated financial statements of the group comprise the financial statements of the company and its subsidiaries at the end of the reporting period.

Inter-company transactions, balances and unrealised gains on transactions between group companies are eliminated. Unrealised losses are also eliminated unless the transaction provides evidence of an impairment of the asset transferred.

The accounting policies for the subsidiaries are consistent with the policies adopted by the company.

k) Taxation

Current taxation is provided for on the basis of the results for the year as shown in the financial statements, adjusted in accordance with the tax legislation.

2. ACCOUNTING POLICIES (Continued)

k) Taxation (Continued)

Deferred taxation is provided using the liability method, for all temporary differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes. Deferred tax assets are recognised for all deductible temporary differences, carry forward of unused tax losses and unused tax credits to the extent that it is probable that future taxable profit will be available against which the deductible temporary differences, unused tax losses and the unused tax credits can be utilised.

l) Retirement benefit costs

The company contributes to a statutory defined contribution pension scheme, the National Social Security Fund (NSSF). Contributions are determined by local statute and are currently limited to KShs.200 per employee per month.

The company's contributions to the above scheme are charged to the income statement in the year to which they relate.

m) Employee entitlements

The monetary benefits for employees' accrued annual leave entitlement at the balance sheet date are recognised as an expense accrual.

n) Impairment of assets

The company assesses at each reporting date whether there is an indication that an asset may be impaired. If such indication exists, the company makes an estimate of the asset's recoverable amount. Where the carrying amount of an asset exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount. Impairment losses are recognised in the income statement.

o) Dividends on ordinary shares

Dividends on ordinary shares are recognised as a liability and deducted from equity when they are approved by the shareholders. Interim dividends are deducted from equity when they are declared and no longer at the discretion of the company.

Dividends for the year that are approved after the balance sheet date are disclosed as an event after the balance sheet date.

p) Borrowing costs

Borrowing costs are recognised as an expense when incurred and measured using the effective interest rate method.

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP)
NOTES TO THE FINANCIAL STATEMENTS (Continued)
FOR THE YEAR ENDED 30 JUNE 2008

2. ACCOUNTING POLICIES (Continued)

q) Provisions

Provisions are recognised when the group has a present legal or constructive obligation as a result of past events and it is probable that an out flow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate of the amount of the obligation can be made.

r) Leases

Finance leases, which transfer to the group substantially all the risks and benefits incidental to ownership of the leased item, are capitalised at the inception of the lease at the fair value of the leased property or, if lower, at the present value of the minimum lease payments. Lease payments are apportioned between the finance charges and reduction of the lease liability so as to achieve a constant rate of interest on the remaining balance of the liability. Finance charges are charged directly against income.

Capitalised leased assets are depreciated over the shorter of the estimated useful life of the asset or the lease term.

Leases where the lessor retains substantially all the risks and benefits of ownership of the asset are classified as operating leases. Initial direct costs incurred in negotiating an operating lease are added to the carrying amount of the leased asset and recognised over the lease term on the same bases as the lease income.

Operating lease payments are recognised as an expense in the income statement on a straight-line basis over the lease term.

s) Intangible assets and amortization

Acquired computer software licenses are capitalised on the basis of the costs incurred to acquire and bring to use the specific software. These costs are amortized using the straight-line method over a period of four years.

Costs associated with developing or maintaining computer software programmes are recognised as an expense as incurred. Costs that are directly associated with the production of identifiable and unique software products controlled by the group and that will probably generate economic benefits exceeding costs beyond one year, are recognised as intangible assets. Direct costs include the software development employee costs and an appropriate portion of relevant overheads.

Computer software development costs recognised as assets are amortised over a period of four years.

t) Cost of sales

Cost of sales includes the historical costs of inventory expensed during the year including inventory losses.

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP)
NOTES TO THE FINANCIAL STATEMENTS (Continued)
FOR THE YEAR ENDED 30 JUNE 2008

2. ACCOUNTING POLICIES (Continued)

u) Investments in subsidiaries

Investments in subsidiaries are carried in the company's balance sheet at cost less provisions for impairment losses. Where, in the opinion of the management, there has been impairment in the value of an investment, the loss is recognized as an expense in the period in which the impairment is identified.

v) Use of estimates in the preparation of the financial statements and assumptions made

In preparing the financial statements, management is required to make estimates and assumptions that affect reported income, expenses, assets, liabilities and disclosure of contingent assets and liabilities. Use of available information and the application of judgement is inherent in the formation of estimates. Actual results in the future could differ from these estimates which may be material to the financial statements.

Significant judgements made by management in the preparation of the financial statements relate to the following:

Property, plant and equipment

Property and equipment is depreciated over its useful life taking into account residual values, where appropriate. The actual lives of the assets and residual values are assessed annually and may vary depending on a number of factors. In reassessing asset lives, factors such as technological innovation, product life cycles and maintenance programmes are taken into account. Residual value assessments consider issues such as future market conditions, the remaining life of the asset and projected disposal values.

Impairment of assets

Property, plant and equipment and intangible assets are considered for impairment if there is a reason to believe that impairment may be necessary. Factors taken into consideration in reaching such a decision include the economic viability of the asset itself and where it is a component of a larger economic unit, the viability of that unit itself.

Future cash flows expected to be generated by the assets are projected, taking into account market conditions and the expected useful lives of the assets. The present value of these cash flows, determined using an appropriate discount rate, is compared to the current net asset value and, if lower, the assets are impaired to the present value.

Provision for doubtful debts

The estimated provision for doubtful debts is based on the period for which the debt was outstanding combined with some knowledge of the financial position of the debtor and/or the circumstances surrounding the underlying transaction.

Deferred taxation assets

Deferred tax assets are recognised to the extent it is probable that taxable income will be available in future against which they can be utilised. Future taxable profits are estimated based on business plans which include estimates and assumptions regarding economic growth, interest, inflation and taxation rates and competitive forces.

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
NOTES TO THE FINANCIAL STATEMENTS (Continued)
FOR THE YEAR ENDED 30 JUNE 2008

3(a) PROPERTY, PLANT AND EQUIPMENT
(GROUP)

	Buildings and freehold land	Improvements to premises	Plant and machinery	Vehicles and equipment	Total
	KShs '000	KShs' 000	KShs'000	KShs'000	KShs'000
<i>At 30 June 2008:</i>					
COST OR VALUATION					
At 1 July 2007	486,882	251,422	323,105	573,247	1,634,656
Additions	-	7,096	3,080	6,772	16,948
Exchange differences	-	201	235	133	569
At 30 June 2008	<u>486,882</u>	<u>258,719</u>	<u>326,420</u>	<u>580,152</u>	<u>1,652,173</u>
DEPRECIATION					
At 1 July 2007	39,032	114,357	298,674	514,031	966,094
Charge for the year	12,688	29,515	16,886	46,888	105,977
Exchange differences	-	283	373	287	943
At 30 June 2008	<u>51,720</u>	<u>144,155</u>	<u>315,933</u>	<u>561,206</u>	<u>1,073,014</u>
NET BOOK VALUE					
At 30 June 2008	<u>435,162</u>	<u>114,564</u>	<u>10,487</u>	<u>18,946</u>	<u>579,159</u>

In the opinion of the management, appropriate provisions have been made for impaired property, plant and equipment.

Buildings and freehold land were valued in June 2004 by Lloyd Masika Limited, independent professional valuers. Valuations were made on the basis of open market value. The book values of the properties were adjusted to the revalued amounts and the resultant surplus was credited to revaluation surplus in equity.

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
NOTES TO THE FINANCIAL STATEMENTS (Continued)
FOR THE YEAR ENDED 30 JUNE 2008

3(a) PROPERTY, PLANT AND EQUIPMENT (GROUP) - Continued

<i>At 30 June 2007:</i>	Buildings and freehold land KShs'000	Improvements to premises KShs'000	Plant and machinery KShs'000	Vehicles and equipment KShs'000	Total KShs'000
COST OR VALUATION					
At 1 July 2006	486,882	253,880	326,054	575,836	1,642,652
Additions	-	2,176	11,451	754	14,381
Disposals	-	(5,178)	(15,057)	(3,725)	(23,960)
Exchange differences	-	544	657	382	1,583
At 30 June 2007	<u>486,882</u>	<u>251,422</u>	<u>323,105</u>	<u>573,247</u>	<u>1,634,656</u>
DEPRECIATION					
At 1 July 2006	26,344	89,413	273,371	462,755	851,883
Disposals	-	(3,030)	(11,399)	(2,311)	(16,740)
Charge for the year	12,688	27,780	36,232	53,370	130,070
Exchange differences	-	194	470	217	881
At 30 June 2007	<u>39,032</u>	<u>114,357</u>	<u>298,674</u>	<u>514,031</u>	<u>966,094</u>
NET BOOK VALUE					
At 30 June 2007	<u>447,850</u>	<u>137,065</u>	<u>24,431</u>	<u>59,216</u>	<u>668,562</u>

In the opinion of the directors, appropriate provisions have been made for impaired property, plant and equipment.

Buildings and freehold land were valued in June 2004 by Lloyd Masika Limited, independent professional valuers. Valuations were made on the basis of open market value. The book values of the properties were adjusted to the revalued amounts and the resultant surplus was credited to revaluation surplus in equity.

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
NOTES TO THE FINANCIAL STATEMENTS (Continued)
FOR THE YEAR ENDED 30 JUNE 2008

3(b) PROPERTY, PLANT AND EQUIPMENT
(COMPANY)

<i>At 30 June 2008:</i>	Buildings and freehold land KShs '000	Improvements to premises KShs' 000	Plant and machinery KShs'000	Vehicles and equipment KShs'000	Total KShs'000
COST OR VALUATION					
At 1 July 2007	486,882	209,515	274,358	545,764	1,516,519
Additions	<u>-</u>	<u>7,096</u>	<u>2,850</u>	<u>5,900</u>	<u>15,846</u>
At 30 June 2008	<u>486,882</u>	<u>216,611</u>	<u>277,208</u>	<u>551,664</u>	<u>1,532,365</u>
DEPRECIATION					
At 1 July 2007	39,032	95,752	261,312	495,676	891,772
Charge for the year	<u>12,688</u>	<u>23,572</u>	<u>11,810</u>	<u>39,561</u>	<u>87,631</u>
At 30 June 2008	<u>51,720</u>	<u>119,324</u>	<u>273,122</u>	<u>535,237</u>	<u>979,403</u>
NET BOOK VALUE					
At 30 June 2008	<u>435,162</u>	<u>97,287</u>	<u>4,086</u>	<u>16,427</u>	<u>552,962</u>

In the opinion of the management, appropriate provisions have been made for impaired property, plant and equipment.

Buildings and freehold land were valued in June 2004 by Lloyd Masika Limited, independent professional valuers. Valuations were made on the basis of open market value. The book values of the properties were adjusted to the revalued amounts and the resultant surplus was credited to revaluation surplus in equity.

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
NOTES TO THE FINANCIAL STATEMENTS (Continued)
FOR THE YEAR ENDED 30 JUNE 2008

3(b) PROPERTY, PLANT AND EQUIPMENT (COMPANY) – Continued

<i>At 30 June 2007:</i>	Buildings and freehold land KShs '000	Improvements to premises KShs' 000	Plant and machinery KShs'000	Vehicles and equipment KShs'000	Total KShs'000
COST OR VALUATION					
At 1 July 2006	486,882	214,693	278,728	547,896	1,528,199
Additions	-	(5,178)	(4,370)	(2,132)	(11,680)
Disposals					
	<u>486,882</u>	<u>209,515</u>	<u>274,358</u>	<u>545,764</u>	<u>1,516,519</u>
At 30 June 2007					
DEPRECIATION					
At 1 July 2006	26,344	75,340	239,389	448,363	789,436
On disposals	-	(3,030)	(4,370)	(1,315)	(8,715)
Charge for the year	<u>12,688</u>	<u>23,442</u>	<u>26,293</u>	<u>48,628</u>	<u>111,051</u>
	<u>39,032</u>	<u>95,752</u>	<u>261,312</u>	<u>495,676</u>	<u>891,772</u>
At 30 June 2007					
NET BOOK VALUE					
At 30 June 2007	<u>447,850</u>	<u>113,763</u>	<u>13,046</u>	<u>50,088</u>	<u>624,747</u>

In the opinion of the directors, appropriate provisions have been made for impaired property, plant and equipment.

Buildings and freehold land were valued in June 2004 by Lloyd Masika Limited, independent professional valuers. Valuations were made on the basis of open market value. The book values of the properties were adjusted to the revalued amounts and the resultant surplus was credited to revaluation surplus in equity.

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
NOTES TO THE FINANCIAL STATEMENTS (Continued)
FOR THE YEAR ENDED 30 JUNE 2008

4. PREPAID OPERATING LEASE RENTALS	Group		Company	
	2008 KShs'000	2007 KShs'000	2008 KShs'000	2007 KShs'000
Balance brought forward	151,658	151,929	49,224	49,495
Amortisation charge for the year	<u>(1,410)</u>	<u>(271)</u>	<u>(271)</u>	<u>(271)</u>
At 30 June	<u>150,248</u>	<u>151,658</u>	<u>48,953</u>	<u>49,224</u>

5. INVESTMENTS IN SUBSIDIARIES	Country of incorporation	Shareholding	2008	2007
			KShs'000	KShs'000
Uchumi Supermarkets (Uganda) Limited	Uganda	100%	60,000	60,000
Kasarani Mall Limited	Kenya	100%	<u>200</u>	<u>200</u>
			60,200	60,200
Less: Provision for impairment			<u>(200)</u>	<u>(60,200)</u>
			<u>60,000</u>	<u>-</u>

The principal activity of Uchumi Supermarkets (Uganda) Limited and Kasarani Mall Limited is operation of retail supermarkets and property management, respectively.

The results of Uchumi Supermarkets (Uganda) Limited and Kasarani Mall Limited have been consolidated in the financial statements. There are other wholly owned subsidiaries, Uchumi Supermarkets (Tanzania) Limited and Uchumi Holdings Limited, incorporated in Tanzania and Kenya, respectively, which have each issued two shares at nominal amounts. These subsidiaries did not have any transactions during the year.

6. INVENTORIES	Group		Company	
	2008 KShs'000	2007 KShs'000	2008 KShs'000	2007 KShs'000
Food	258,636	203,436	197,467	203,436
Non-food	147,618	99,586	147,618	99,586
Other	<u>216,230</u>	<u>217,028</u>	<u>216,116</u>	<u>172,717</u>
	<u>622,484</u>	<u>520,050</u>	<u>561,201</u>	<u>475,739</u>

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
NOTES TO THE FINANCIAL STATEMENTS (Continued)
FOR THE YEAR ENDED 30 JUNE 2008

7. TRADE AND OTHER RECEIVABLES	Group		Company	
	2008 KShs'000	2007 KShs'000	2008 KShs'000	2007 KShs'000
Trade debtors	69,755	168,211	54,221	161,216
Provision for bad debts	<u>(20,786)</u>	<u>(114,568)</u>	<u>(20,174)</u>	<u>(114,568)</u>
	48,969	53,643	34,047	46,648
Prepayments and other receivables	<u>98,783</u>	<u>83,746</u>	<u>89,613</u>	<u>67,694</u>
	<u>147,752</u>	<u>137,389</u>	<u>123,660</u>	<u>114,342</u>

8. RELATED PARTY TRANSACTIONS

The group is related to various other entities through common shareholding and /or directorships. The following balances relating to transactions entered into with related parties arising from sale and purchase of goods/ services were outstanding at year end:

	Group		Company	
	2008 KShs'000	2007 KShs'000	2008 KShs'000	2007 KShs'000
Amounts due from related parties:				
Uchumi Supermarkets (Uganda) Limited	-	-	139,410	58,757
Kasarani Mall Limited	<u>-</u>	<u>-</u>	<u>110,511</u>	<u>110,511</u>
	<u>-</u>	<u>-</u>	<u>249,921</u>	<u>169,268</u>

Amounts due to related parties:

Industrial and Commercial Development Company	1,869	1,869	1,869	1,869
KWA Holdings E.A Limited	<u>6,093</u>	<u>6,241</u>	<u>6,093</u>	<u>6,241</u>
	<u>7,962</u>	<u>8,110</u>	<u>7,962</u>	<u>8,110</u>

The following transactions were carried out with related parties:

Senior management compensation				
Salaries and other employment benefits	<u>40,359</u>	<u>51,402</u>	<u>40,359</u>	<u>51,402</u>

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
NOTES TO THE FINANCIAL STATEMENTS (Continued)
FOR THE YEAR ENDED 30 JUNE 2008

9. CASH AND CASH EQUIVALENTS

For the purposes of the cash flow statement, cash and cash equivalents comprise of the following at 30 June:

	2008 KShs'000	2007 KShs'000
Bank and cash balances	107,405	72,951
Bank overdraft	(12,980)	(19,036)
	<u>94,425</u>	<u>53,915</u>

10. SHARE CAPITAL

Authorised:

300,000,000 ordinary shares of KShs.5 each	1,500,000	1,500,000
25,000,000 preference shares of KShs.20 each	<u>500,000</u>	<u>500,000</u>
	<u>2,000,000</u>	<u>2,000,000</u>

Issued and fully paid:

180,000,000 ordinary shares of Shs.5 each	<u>900,000</u>	<u>900,000</u>
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	Group		Company	
	2008 KShs'000	2007 KShs'000	2008 KShs'000	2007 KShs'000
11. RESERVES				
Accumulated losses	(2,691,636)	(2,788,991)	(2,550,321)	(2,761,670)
Share premium	662,882	662,882	662,882	662,882
Revaluation reserve	137,352	139,638	137,352	139,638
Translation reserve	<u>(12,597)</u>	<u>(12,979)</u>	<u>-</u>	<u>-</u>
	<u>(1,903,999)</u>	<u>(1,999,450)</u>	<u>(1,750,087)</u>	<u>(1,959,150)</u>

The revaluation reserve represents the surplus on the revaluation of buildings and freehold land net of deferred income tax. The reserve is non-distributable.

The translation reserve arises from translation of the net investment in Uchumi Supermarkets (Uganda) Limited.

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
NOTES TO THE FINANCIAL STATEMENTS (Continued)
FOR THE YEAR ENDED 30 JUNE 2008

12. LOANS	Group		Company	
	2008	2007	2008	2007
	KShs'000	KShs'000	KShs'000	KShs'000
Borrowings are made up as follows:				
a) Non-current				
Term loan	<u>1,180,089</u>	<u>1,597,950</u>	<u>1,180,089</u>	<u>1,597,950</u>
b) Current				
Bank overdraft	12,980	19,036	12,980	9,277
Debenture loan	207,437	22,000	207,437	22,000
Term loan	<u>340,000</u>	<u>72,569</u>	<u>340,000</u>	<u>72,569</u>
	<u>560,417</u>	<u>113,605</u>	<u>560,417</u>	<u>103,846</u>
	<u>1,740,506</u>	<u>1,711,555</u>	<u>1,740,506</u>	<u>1,701,796</u>
Maturity profile of non-current borrowings				
Between 1 and 2 years	360,000	203,324	360,000	203,324
Between 2 and 5 years	105,089	203,324	105,089	203,324
Over 5 years	<u>715,000</u>	<u>1,191,302</u>	<u>715,000</u>	<u>1,191,302</u>
	<u>1,180,089</u>	<u>1,597,950</u>	<u>1,180,089</u>	<u>1,597,950</u>
Term loan				
Non-current				
Eastern and Southern African Trade and Development Bank	200,715	362,847	200,715	362,847
Centum Investment Company Limited	40,000	40,000	40,000	40,000
Kenya Commercial Bank Limited	264,374	520,103	264,374	520,103
Government loan	<u>675,000</u>	<u>675,000</u>	<u>675,000</u>	<u>675,000</u>
	<u>1,180,089</u>	<u>1,597,950</u>	<u>1,180,089</u>	<u>1,597,950</u>
Current				
Eastern and Southern African Trade and Development Bank	170,000	72,569	170,000	72,569
Kenya Commercial Bank Limited	<u>170,000</u>	<u>-</u>	<u>170,000</u>	<u>-</u>
	<u>340,000</u>	<u>72,569</u>	<u>340,000</u>	<u>72,569</u>

The debenture loan was obtained from shareholders and suppliers in 2007 and attracts interest at a rate of 3% p.a. with a maturity date of 23 August 2007. The loan has not been settled. However, management expects that the anticipated involvement of a strategic equity partner will be key in re-negotiating settlement of the outstanding debenture loan.

The term loan from Kenya Commercial Bank Limited was previously payable over a period of five years ending 26 November 2008. However, the loan term was re-negotiated during the year to a maturity date of 31 December 2011.

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
NOTES TO THE FINANCIAL STATEMENTS (Continued)
FOR THE YEAR ENDED 30 JUNE 2008

12. LOANS (continued)

The term loan from Eastern and Southern Africa Trade and Development Bank is repayable over a period of six years ending 31 August 2011.

The government loan is effective for 36 months ending November 2009. However, the management considers that the Government being part of the recapitalization committee will review the loan terms depending on the company's performance.

The above borrowings (current and non-current) are secured by a debenture with a first legal charge over the entire assets of the company and with a floating charge over stocks and debtors.

The weighted average effective interest rate at year-end was:

	2008	2007
Term loan	10.65%	11.5%
Bank overdrafts	10.50%	10.6%

In the opinion of the the Specialist Receiver Manager, the carrying amounts of borrowings approximate to their fair values. Fair values are based on discounted cash flows using a discount rate based on the borrowing rate that management expect would be available to the group at the balance sheet date.

13. TRADE AND OTHER PAYABLES

	Group		Company	
	2008	2007	2008	2007
	KShs'000	KShs'000	KShs'000	KShs'000
Trade payables	681,391	622,277	577,239	535,846
Accrued expenses	103,800	203,145	81,050	189,187
Other payables	<u>99,503</u>	<u>138,120</u>	<u>99,503</u>	<u>138,120</u>
	<u>884,694</u>	<u>963,542</u>	<u>757,792</u>	<u>863,153</u>

14. BANK OVERDRAFT

The bank overdraft is secured by a debenture with a first legal charge over the entire assets of the company and with a floating charge over inventory and debtors.

	Group		Company	
	2008	2007	2008	2007
	KShs'000	KShs'000	KShs'000	KShs'000
Food	4,505,965	2,985,770	3,966,295	2,574,542
Personal care	1,306,860	842,237	1,149,985	726,236
General merchandise	897,762	633,615	789,995	546,348
Textiles	<u>81,767</u>	<u>41,619</u>	<u>71,952</u>	<u>35,887</u>
	<u>6,792,354</u>	<u>4,503,241</u>	<u>5,978,227</u>	<u>3,883,013</u>

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
NOTES TO THE FINANCIAL STATEMENTS (Continued)
FOR THE YEAR ENDED 30 JUNE 2008

16. COST OF SALES	Group		Company	
	2008 KShs'000	2007 KShs'000	2008 KShs'000	2007 KShs'000
Food	3,649,632	2,449,163	3,210,040	2,115,112
Personal care	1,049,018	691,228	924,624	596,949
General merchandise	774,260	523,255	682,447	451,886
Textiles	<u>79,992</u>	<u>31,199</u>	<u>70,506</u>	<u>26,943</u>
	<u>5,552,902</u>	<u>3,694,845</u>	<u>4,887,617</u>	<u>3,190,890</u>
17. OTHER INCOME				
Promotions income	44,075	9,397	44,075	6,929
Loss on disposal of property, plant and equipment	-	(2,965)	-	(2,965)
Reversal of impairment of investment in Uchumi Supermarkets (Uganda) Limited	-	-	138,061	-
Speciality shop income	108,548	51,441	108,548	51,441
Miscellaneous income	<u>156,956</u>	<u>94,460</u>	<u>129,521</u>	<u>78,825</u>
	<u>309,579</u>	<u>152,333</u>	<u>420,205</u>	<u>134,230</u>
18. ADMINISTRATION AND ESTABLISHMENT EXPENSES				
Staff expenses	281,128	242,201	255,108	223,992
Establishment costs	421,997	393,357	340,885	321,607
Computer expenses	13,536	37,074	12,811	36,671
General expenses	267,852	127,252	257,944	99,892
Motor running expenses	20,557	11,477	15,589	4,957
Auditors' remuneration	6,976	7,355	5,000	5,000
Consultancy fees	27,146	6,461	26,043	11,430
Amortisation of intangible assets	-	61,308	-	61,308
Amortisation of operating lease rentals	1,410	271	271	271
Depreciation of property and equipment	<u>105,977</u>	<u>130,070</u>	<u>87,631</u>	<u>111,051</u>
	<u>1,146,579</u>	<u>1,016,826</u>	<u>1,001,282</u>	<u>876,179</u>
19. SELLING AND DISTRIBUTION				
Marketing expenses	<u>107,007</u>	<u>48,339</u>	<u>99,020</u>	<u>43,421</u>

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
NOTES TO THE FINANCIAL STATEMENTS (Continued)
FOR THE YEAR ENDED 30 JUNE 2008

20.	FINANCE COSTS	Group		Company	
		2008 KShs'000	2007 KShs'000	2008 KShs'000	2007 KShs,000
	Bank charges and commission	1,918	1,474	1,918	1,151
	Interest – bank overdraft	18,915	11,949	18,915	11,949
	Interest – unsecured loans	28,746	2,908	28,746	2,908
	Interest – secured loans	105,108	125,943	106,182	125,943
	Interest – other	11,516	70	11,516	70
	Credit card commission	18,904	7,130	18,904	11,823
	Debenture issue expenses	<u>4,237</u>	<u>2,650</u>	<u>4,237</u>	<u>2,650</u>
		<u>189,344</u>	<u>152,124</u>	<u>190,418</u>	<u>156,494</u>
21.	PROFIT/(LOSS) BEFORE TAXATION				
	The profit/(loss) before taxation is stated after charging:-				
	Depreciation of property and equipment	105,977	130,070	87,631	111,051
	Amortisation of intangible assets	-	61,308	-	61,308
	Amortisation of operating lease rentals	1,410	271	271	271
	Auditors' remuneration	6,796	7,355	5,000	5,000
	Staff costs:				
	Salaries and wages	279,515	241,000	253,495	222,791
	Pension costs	1,613	1,201	1,613	1,201
22.	TAXATION				
	Balance brought forward	11,147	11,147	11,147	11,147
	Under-provision in previous years	<u>(11,032)</u>	<u>-</u>	<u>(11,032)</u>	<u>-</u>
		<u>115</u>	<u>11,147</u>	<u>115</u>	<u>11,147</u>

INCOME STATEMENT

Under-provision in previous years	<u>11,032</u>	<u>-</u>	<u>11,032</u>	<u>-</u>
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There is no corporation tax charge due to accumulated tax losses brought forward and losses made during the year.

DEFERRED TAX

A net deferred tax asset of KShs.776,745,991 (2007:KShs. 845,633,078) has not been recognised in respect of the accumulated tax losses and other temporary differences, as the group and the company will not have substantial taxable profits in the foreseeable future, against which the tax losses and other temporary differences can be utilized.

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
NOTES TO THE FINANCIAL STATEMENTS (Continued)
FOR THE YEAR ENDED 30 JUNE 2008

23. PROFIT/(LOSS) PER SHARE

The profit /loss per share is calculated on the profit/loss after taxation and on the number of ordinary shares in issue during the year, as follows:-

	Group		Company	
	2008	2007	2008	2007
	KShs'000	KShs'000	KShs'000	KShs'000
Profit /(loss) for the year	<u>95,069</u>	<u>(256,560)</u>	<u>209,063</u>	<u>(249,741)</u>
Number of ordinary shares	<u>180,000</u>	<u>180,000</u>	<u>180,000</u>	<u>180,000</u>
Profit /(loss) per share	<u>0.53</u>	<u>(1.43)</u>	<u>1.16</u>	<u>(1.39)</u>

24. SEGMENT INFORMATION

	Kenya	Uganda	Group
	Kshs '000	Kshs '000	KShs '000
<i>Year ended 30 June 2008:</i>			
Sales	<u>5,978,227</u>	<u>814,127</u>	<u>6,792,354</u>
Operating profit	<u>69,864</u>	<u>25,205</u>	<u>95,069</u>
Current assets	744,334	155,422	899,756
Non-current assets	<u>703,210</u>	<u>26,197</u>	<u>729,407</u>
Total segment assets	<u>1,447,544</u>	<u>181,619</u>	<u>1,629,163</u>
Current liabilities	1,326,171	126,902	1,453,073
Non current liabilities	<u>1,180,089</u>	-	<u>1,180,089</u>
Total segment liabilities	<u>2,506,260</u>	<u>126,902</u>	<u>2,633,162</u>
<i>Year ended 30 June 2007:</i>			
Sales	<u>3,883,013</u>	<u>620,244</u>	<u>4,503,257</u>
Operating (loss)/ profit	<u>(249,741)</u>	<u>(6,819)</u>	<u>(256,560)</u>
Current assets	670,670	92,867	763,537
Non-current assets	<u>776,405</u>	<u>43,815</u>	<u>820,220</u>
Total segment assets	<u>1,447,075</u>	<u>136,682</u>	<u>1,583,757</u>
Current liabilities	975,709	110,148	1,085,857
Non current liabilities	<u>1,597,950</u>	-	<u>1,597,950</u>
Total segment liabilities	<u>2,573,659</u>	<u>110,148</u>	<u>2,683,807</u>

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
NOTES TO THE FINANCIAL STATEMENTS (Continued)
FOR THE YEAR ENDED 30 JUNE 2008

24. SEGMENT INFORMATION (Continued)

Sales revenue is based on the country in which the sales took place. Total assets are shown by the geographical area in which the assets are located. Both geographical segments are involved in the operation of retail supermarkets.

Segment assets consist primarily of property, plant and equipment, intangible assets, inventories, receivables and operating cash and exclude investments and amounts due from subsidiaries. Segment liabilities consist of operating liabilities and exclude items such as dividends payable and amounts due to the parent company.

Segment operating profit excludes transactions with the group companies. In particular, the current year operating profit for Kenya exclude KShs.138 million, being the reversal of previously impaired investment in, and amount receivable from, Uchumi Supermarkets (Uganda) Limited.

25. PRIOR YEAR ADJUSTMENT

The prior year adjustment relates to reversal of terminal dues paid to former employees in year 2006 and posted to an accrual account instead of being expensed.

26. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES

The group activities expose it to a variety of financial risks, including credit risk, foreign currency exchange rates risk, liquidity risk and interest rates risk. The group's overall risk management programme focuses on the unpredictability of financial markets and seeks to minimise potential adverse effects on its financial performance.

Risk management is carried out by management headed by the Specialist Receiver Manager.

The group maintains a conservative policy regarding currency and interest rate risks and does not engage in speculation in the markets. In addition, the group does not speculate or trade in derivative financial instruments.

Interest rate risk

The group is not exposed to significant interest rate risk as it does not have external funding or debt instruments with variable interest rates that will otherwise have inherent risk exposure. The group's external funding attracts fixed interest rates. In light of this, the Specialist Receiver Manager is of the opinion that any sensitivity analysis with respect to the interest rate risk would be unrepresentative.

Foreign currency exchange risk

The group's policy is to record transactions in foreign currencies at the rate in effect at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies are retranslated at the rate of exchange in effect at the balance sheet date. All gains or losses on changes in currency exchange rates are accounted for in the income statement. The group operates wholly within Kenya and Uganda and its assets and liabilities are mainly denominated in local currencies. Consequently, the group's exposure to exchange risk is minimal. In light of this, the Specialist Receiver Manager is of the opinion that any sensitivity analysis with respect to the foreign exchange exposure would be unrepresentative.

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
NOTES TO THE FINANCIAL STATEMENTS (Continued)
FOR THE YEAR ENDED 30 JUNE 2008

26. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (Continued)

Credit risk

The largest concentration of credit exposure within the group relate to cash held with banks and accounts receivable. The group has policies in place to ensure that services are provided to customers with an appropriate credit history. In addition, the group only deals with financial institutions which have a strong credit rating. In light of this, the Specialist Receiver Manager does not consider the credit risk exposure to be significant.

Liquidity risk

Liquidity risk concerns the ability of the group to fulfill its financial obligations as they become due. The group's approach to managing liquidity is to ensure, as far as possible, that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the group's reputation.

The group maintains a portfolio of short-term liquid assets, largely made up of bank balances to ensure that sufficient liquidity is maintained within the group as a whole. The group also arranges for short-term borrowings to ensure that the group's financial obligations are met.

Operational risk

Operational risk is the risk of direct or indirect loss arising from a wide variety of causes associated with the group's processes, personnel, technology and infrastructure and from external factors other than credit, interest rate, market and liquidity risks such as those arising from legal and regulatory requirements and generally accepted standards of corporate behaviour. Operational risks arise from all of the group's operations and are faced by all business units.

The group's objective is to manage operational risk so as to balance the avoidance of financial losses and damage to the group's reputation with overall cost effectiveness and to avoid control procedures that restrict initiative and creativity.

The primary responsibility for the development and implementation of controls to address operational risk is assigned to senior management within each business unit. This responsibility is supported by the development of overall group standards for the management of operational risk in the following areas:

- Requirements for appropriate segregation of duties, including the independent authorisation of transactions.
- Requirements for the reconciliation and monitoring of transactions.
- Compliance with regulatory and other legal requirements.
- Documentation of controls and procedures.
- Requirements for the yearly assessment of operational risks faced, and the adequacy of controls and procedures to address the risks identified.
- Requirements for the reporting of operational losses and proposed remedial action.
- Development of contingency plans.
- Training and professional development.
- Ethical and business standards.
- Risk mitigation, including insurance where this is effective.

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
 NOTES TO THE FINANCIAL STATEMENTS (Continued)
 FOR THE YEAR ENDED 30 JUNE 2008

27. CAPITAL MANAGEMENT

The group is currently under receivership and has negative capital. However, its objectives when managing capital are to safeguard its ability to continue as a going concern and ultimately build an optimal capital structure to reduce the cost of capital. In order to maintain or adjust the capital structure, the group may adjust the amount of dividends paid to shareholders or sell assets to reduce debt.

28. CAPITAL COMMITMENTS

There were no contracted capital commitments as at 30 June 2008.

29. OPERATING LEASE COMMITMENTS

The future minimum lease payments under non-cancellable operating leases are as follows.

	Group		Company	
	2008	2007	2008	2007
	KShs'000	KShs'000	KShs'000	KShs'000
Not later than one year	239,378	233,701	202,045	182,523
Later than one year and not later than five years	957,284	590,176	794,935	428,241
Later than five years	<u>502,188</u>	<u>492,519</u>	<u>502,188</u>	<u>492,519</u>
	<u>1,698,850</u>	<u>1,316,396</u>	<u>1,499,168</u>	<u>1,103,283</u>

30. CONTINGENT LIABILITIES

The group is a defendant in various legal actions. In the opinion of the Specialist Receiver Manager, after taking appropriate legal advice, the outcome of such actions will not give rise to any significant losses.

31. COMPARATIVES

Where necessary, comparative figures have been adjusted to conform with changes in presentation in the current year. In particular, the comparative figures have been adjusted to take into account the effect of the prior year adjustment.

32. CURRENCY

The financial statements are presented in Kenya Shillings (KShs).